

Reasons for Decision

Name of Residential Complex: **The Pines**
Address of Residential Complex: **585 Corydon Avenue, Winnipeg MB**

Every year the government sets a rent increase guideline. The guideline for rent increases in 2021 is 1.0%.

Under subsection 123(2) of the Residential Tenancies Act (the Act), a landlord can submit an application to the Residential Tenancies Branch (RTB) to increase the rent above the guideline amount if they feel this amount will not cover increases in operating expenses and the cost of any capital improvements. The landlord in this case applied for a rent increase of 20.05%. The RTB approved an increase of 13.2%.

Subsection 125(3) of the Act requires the RTB to consider the following in accordance with the Residential Rent Regulation before issuing an order setting the maximum rent increase that may be charged for each unit:

- the rents charged for the rental units in the residential complex immediately before the proposed increase is intended to come into effect;
- the increase in actual expenses determined in accordance with the regulations;
- any change in the services and facilities, privileges, accommodations or things that the landlord provides for the tenants whether or not a separate charge is made for them;
- any ground of objection made by a tenant;
- any finding by the director that the landlord is in contravention of the obligation to repair. In such cases, tenants are sent repair forms to complete; and
- the submissions and representations made by the landlord and tenants.

Operating Expenses:

The landlord reported an increase in operating expenses of \$8,204.12. The landlord provided invoices and ledgers in support of their reported operating expenses. In accordance with subsection 125(3) of the Act, the Branch made the following adjustments where necessary to the operating expenses reported by the landlord:

- Recalculated expenses based on the invoices and/or ledgers submitted (e.g. taxes, utilities and insurance);
- Reduced any categories for which the landlord received a rebate (e.g. taxes);
- Transferred capital expenses reported as operating expenses to the Capital category (e.g. appliances and plumbing fixtures from the Plumbing category in Operating);
- Increased the caretaker expense in the previous period so that it equalled the current period expense. For the last two applications above the guideline, the RTB disallowed the caretaker expense since the ledgers provided contained various debits and credits that were allocated to maintenance work and management of the complex in an

unclear way. In this application, the ledger provided by the landlord for the current period clearly lays out the caretaker's monthly salary and benefits. As such, this format is acceptable moving forward. However, an increase in the caretaking expense of almost \$6,000.00 (from \$0.00 in the previous period to \$5,977.42 in the current period), is not a routine increase you would expect to see year after year moving forward. Therefore, the increase was considered extraordinary and the previous period amount was increased to match the current period amount.

Adjustments to the operating expenses decreased the amount reported by the landlord by \$7,792.81. The following table summarizes the changes made by the RTB and the affect it had on the allowable increase in Operating Expenses:

Operating Expenses	LL's Current	RTB Current	Adjustment	LL's Previous	RTB Previous	Adjustment
Taxes	\$12,522.93	\$12,204.41	-\$318.52	\$11,403.05	\$11,403.05	\$0.00
Gas	\$7,291.45	\$7,195.57	-\$95.88	\$6,698.88	\$6,698.88	\$0.00
Hydro	\$1,872.77	\$1,657.17	-\$215.60	\$1,779.13	\$1,779.13	\$0.00
Water	\$7,578.63	\$7,076.56	-\$502.07	\$7,893.32	\$7,893.32	\$0.00
Insurance	\$3,894.80	\$3,905.50	\$10.70	\$3,150.36	\$3,150.36	\$0.00
Telephone	\$413.78	\$413.78	\$0.00	\$649.42	\$679.42	\$30.00
Caretaker	\$5,977.42	\$5,977.42	\$0.00	\$0.00	\$5,977.42	\$5,977.42
Plumbing	\$2,291.73	\$1,627.71	-\$664.02	\$3,153.23	\$3,153.23	\$0.00
Total	\$41,843.51	\$40,058.12	-\$1,785.39	\$34,727.39	\$40,734.81	\$6,007.42

Capital Expenses:

The landlord reported a total of \$83,195.33 in capital expenses and calculated the allowable portion to be \$14,555.43. The landlord provided invoices in support of their reported capital expenses. In accordance with subsection 125(3) of the Act, the Branch made the following adjustments where necessary to the capital expenses reported by the landlord:

- Transferred capital expenses reported as operating expenses to the Capital category (e.g. dishwasher and bathroom fixtures); and
- Ensured that the correct fraction of each expense was allowed in accordance with the Residential Rent Regulation (e.g. appliances).

The adjustments made to the landlord's application decreased the allowable portion of a capital expenses by \$100.70. The following table shows the adjustments made by the RTB and the affect they had on the allowable portion of capital expenses.

Capital Expense	Claimed Expense	Claimed Rate	Claimed Allowable	RTB Expense	RTB Rate	RTB Allowable	Change In Allowable	Comments
Appliances	6,157.23	1/4	1,539.31	3,241.87	1/4	810.47	-728.84	Refrigerators & Dishwashers
				2,915.36	1/6	485.89	485.89	Ranges, Range Hoods & Microwaves
Dishwasher Install	0.00		0.00	378.92	1/4	94.73	94.73	From Operating
Plumbing Fixtures Install	0.00		0.00	285.10	1/6	47.52	47.52	From Operating
Difference due to rounding							\$0.00	
Total Change In Allowable Portion of Capital Expense							-\$100.70	

Economic Adjustment Amount:

As part of their application, a landlord can claim an Economic Adjustment Amount, which is equal to the revenue earned in the current reporting period multiplied by the Economic Adjustment Factor. The Government has set the Economic Adjustment Factor for 2021 at 1.0%. This multiplied by the revenue earned in the current reporting period (\$114,324.08) resulted in an allowable Economic Adjustment Amount of \$1,143.24.

Total Allowable Increase:

	Landlord's Application \$	Adjustment \$	Allowable Amount (increase)
1. Operating expenses	\$8,240.12	-\$7,792.81	\$447.31
2. Capital expenses	\$14,555.43	-\$100.70	\$14,454.73
3. Economic Adjustment	\$1,143.24	\$0.00	\$1,143.24
4. Change in Service	\$0.00	\$0.00	\$0.00
Totals	\$23,938.79	-\$7,893.51	\$16,045.28

Percentage Increase:

The landlord was able to justify an increase of 13.2%, which was calculated as follows:

$$\frac{\$16,045.28 \text{ (total increase)}}{\$121,128.00 \text{ (total rent)}} \times 100 = 13.2\% \text{ rounded to one decimal point}$$

Additional Comments:

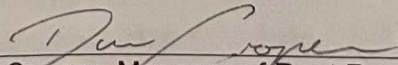
If the attached order is not appealed by the tenant or by the landlord by the date shown on the bottom of the order, then this order is final and binding.

If a tenant was given a Notice of Rent Increase for a basic rent that is higher than the amount shown on this order and the tenant is receiving a discount, the landlord may reduce or remove their discount. The actual amount of rent the tenant must pay, however, cannot exceed what is shown in the Notice of Rent Increase.

If a tenant has paid rent in an amount greater than what is shown on the attached order and the order is not appealed, the tenant should contact the landlord to find out how the landlord wants the tenant to deal with the overpayment. The landlord may advise the tenant to off-set the overpayment from the next rent payment or the landlord may give the tenant a cheque for the amount of the overpayment.

If the order is appealed, the tenant must continue to pay the rent in the amount shown on the Notice of Rent Increase given by the landlord until the Residential Tenancies Commission issues their decision.

Date: 15 November 2021


D. Cooper, Manager of Rent Regulation